

Can Anyone Catch Nokia?

IN OCTOBER 2007, Nokia's CEO Olli-Pekka Kallasvuo landed on the *Forbes* cover.⁹⁶ The then still dominant mobile phone maker was lauded with the headline: "Nokia, one billion customers—can anyone catch the cell phone king?"



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Are you detecting a pattern yet...?

Apple, who had been working on a touchscreen mobile computing device for several years, would be the dethroner. In 2007, the very same year of the Nokia *Forbes* cover, Apple rolled out the iPhone; not long after, the decline of Nokia's mobile phone business began.

A mere five years later (2013), Nokia sold its entire phone business to Microsoft for about 5 billion euros.⁹⁷ What Microsoft wanted were Nokia's patents and intellectual property; Nokia's phone business was arguably worthless.

Nokia suffered the classic innovator's dilemma: Consumers were embracing phones that gave them greater mobile computing capabilities. You can almost hear the boardroom arguments: "But our handset business is